

THE LEDGER

DISPATCH № 1 • VOL. I

FORWARD FILE • CHARTERING

Press start to pay

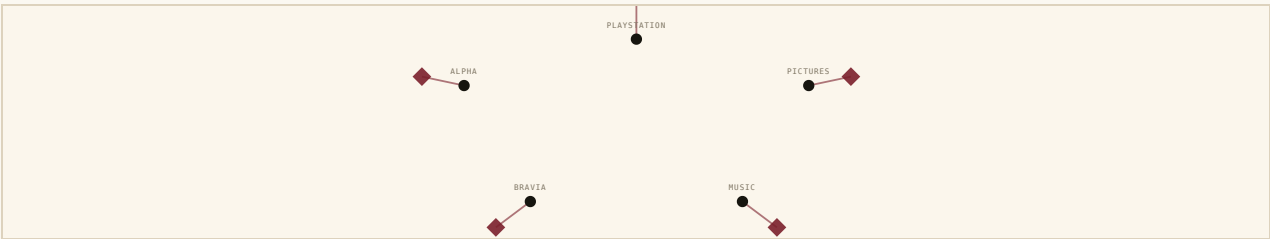
The OCC conditionally approved Sony's national trust charter in July 2026. Four years on, Connectia Trust has beaten the base rate that killed every merchant wallet before it, inside a licence that forbids it to lend, to take deposits, or to pay a cent of interest. What it has built instead is a financial relationship with a generation that begins about six years before any bank's, and a view of that generation's spending that no bank can assemble.

WHERE THE MONEY GOES ON THE WAY THROUGH

One issued dollar, and most of the toll stays inside

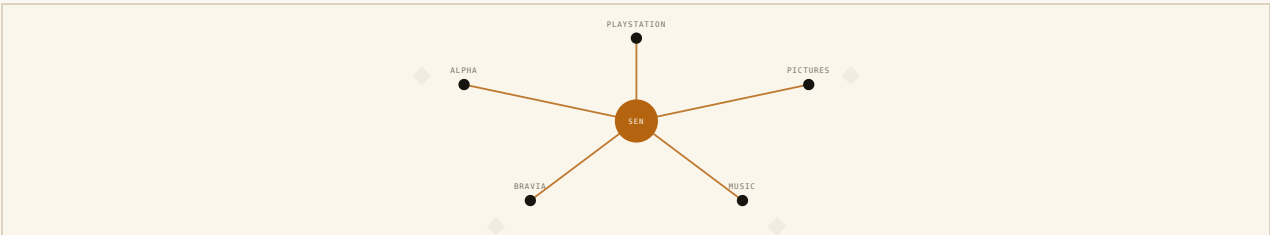
WHERE THE MONEY GOES ON THE WAY THROUGH

2026 • FIVE BUSINESSES, FIVE PAYMENT STACKS, FIVE TOLLS



INTERCHANGE LEAVING THE ECOSYSTEM \$520m	RESERVE HELD BY CONNECTIA \$0	PAYMENT RAILS IN USE 5
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2031 • ONE ISSUED DOLLAR, AND MOST OF THE TOLL STAYS INSIDE



INTERCHANGE LEAVING THE ECOSYSTEM \$180m	RESERVE HELD BY CONNECTIA \$7.4bn	PAYMENT RAILS IN USE 1
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BOTH STATES SHOWN. INTERACTIVE IN THE WEB EDITION.

Sony's businesses used to clear through separate processors that did not talk to each other. One issued dollar collapsed them onto a single rail, kept most of the interchange inside the group, and put the float on a bank balance sheet on the way through. The 2026 baseline is stylised; the 2031 column is as reported by the trust.

The sentence that decided it was not in Sony's application. It was in the Comptroller's reply to a commenter who had pointed out that a national bank may not receive deposits in its trust department, and that a dollar-denominated token looks a great deal like a deposit. The Office of the Comptroller of the Currency answered that Connectia's coin was neither a deposit nor a check, because it would circulate inside a closed-loop payment system. That reasoning is why the charter was conditionally approved in July 2026. It is also, four years on, the wall Connectia Trust is paying lawyers to climb.

Connectia Trust, N.A., a subsidiary of Sony Financial Group, was capitalised at \$40m and formed in the month the approval landed. It has never taken a deposit or made a loan. What it does is hold short-duration Treasuries against a US dollar-denominated token issued for use across PlayStation Network, Sony Pictures' direct storefronts, Sony Music's fan platforms and the Bravia home screen, an ecosystem touching an estimated 700 million people who had not asked for a bank and were not told they had been handed one.

The results, four years in, are these. Circulating supply of SEN Coin stands at \$7.4bn. Roughly 41 million wallets carry a funded balance. In the United States and Japan, close to two-thirds of PlayStation Network transaction value now clears without touching a card network. The reserve portfolio threw off \$318m last year, of which the parent handed back about \$80m as content credits and kept the rest. Interchange that used to leave the group at two to three percent of everything mostly no longer does.

None of that was the expected outcome. The expected outcome, in the trade press, in the comment letters, and in the private models of the card networks, was indifference.

THE BASE RATE THAT DID NOT HOLD

The history of large companies issuing their own payment instruments is close to a graveyard, and the reason is consistent. A consortium of the largest American retailers spent years and a great deal of money building a merchant-controlled network specifically to escape interchange, and it never launched at scale. Retailer wallets have been introduced repeatedly across two decades and have almost uniformly failed to reach meaningful penetration. A general-purpose card works everywhere, earns on everything, and extends credit when the customer needs it. A single-merchant wallet does one thing in one place and asks the customer to maintain a separate balance in order to do it.

Connectia's answer, in retrospect, was to never ask anyone to maintain a separate balance. SEN Coin did not launch as a wallet. It launched in November 2027 as the thing a PlayStation store balance had already been for fifteen years, with the words changed and a legal structure underneath that the customer had no particular reason to notice. Gift cards were denominated in it. Refunds arrived in it. Subscription renewals drew on it before falling back to a card. The proposition was never that a customer should keep money here instead of at a bank. It was that the balance already sitting here had started to be worth something.

"Nobody adopted a stablecoin. People kept doing exactly what they had been doing, and one day the balance started paying them for it."

That is the part every failed predecessor got wrong, and the part the comment letters never argued about. The objection was always to the charter. The charter was never the hard problem.

THE ARITHMETIC, FOUR YEARS IN

The interchange saving was the obvious prize and the smaller one. The float was the business. Under the GENIUS Act's reserve requirements the issuer holds one-to-one backing in short-duration Treasuries and keeps the yield on them, which means a consumer holding a balance in a Sony wallet is lending Sony money that Sony invests in government securities and retains the return on. At \$7.4bn circulating, that is a Treasury book larger than the balance sheet of the median institution the OCC supervises, run by a bank with no branches, no insured deposits and no lending book, which opened with \$40m of capital and has been recapitalised twice since at the agency's insistence.

RESERVE INCOME AT 4.3 PERCENT

FIGURE

CIRCULATING = 1

CIRCULATING = 7.4

CIRCULATING = 20

RESERVE INCOME AT
4.3 PERCENT

RESERVE INCOME AT
4.3 PERCENT

RESERVE INCOME AT
4.3 PERCENT

CIRCULATING **\$1bn**

CIRCULATING **\$7.4bn**

CIRCULATING **\$20bn**

**Annual yield on the
reserve portfolio**

**Annual yield on the
reserve portfolio**

**Annual yield on the
reserve portfolio**

GROSS  **\$43m**

GROSS  **\$318m**

GROSS  **\$860m**

**Returned to wallet
holders as SEN
Credits**

**Returned to wallet
holders as SEN
Credits**

**Returned to wallet
holders as SEN
Credits**

REWARDS  **\$11m**

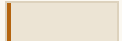
REWARDS  **\$80m**

REWARDS  **\$215m**

**Retained by the
group, before
interchange savings**

**Retained by the
group, before
interchange savings**

**Retained by the
group, before
interchange savings**

NET  **\$32m**

NET  **\$239m**

NET  **\$645m**

SAMPLED AT 1, 7.4, 20. SCRUBBABLE IN THE WEB EDITION.

The rewards structure is the elegant part and has not changed. SEN Credits are distributed as a fraction of the yield earned on a holder's own balance, redeemable for game content, subscriptions and hardware discounts. A consumer keeping \$150 in the wallet earns something like \$1.60 a year in credits. Modest individually, and structurally more durable than the interchange-funded points programmes it competes with, because nobody is paying for it out of margin. It is a slice of the float handed back, with the rest kept.

"It is still the most elegant monetisation of trust in the market," says Thomas Osei, a fintech investor who has tracked the stablecoin ecosystem since the Act passed. "They take the customer's own money, put it in Treasuries, and give back part of the return as entertainment. The customer feels rewarded. And leaving costs them the reward stream, which is the only lock on the door and the only one that has ever worked."

The structure had to clear a provision the Act's drafters wrote precisely for it, and it has, twice. GENIUS prohibits a permitted issuer from paying holders any form of interest or yield, a line drawn to keep stablecoin balances from competing with insured deposits on rate. Connectia has never paid a cent of it. The credits come from the parent, out of a promotional budget that happens to track the reserve income the trust remits upward, and they are denominated in content rather than dollars. The banking trades argued in every comment letter that an affiliate paying rewards which shadow the float is an issuer paying yield with extra steps. They were probably right in substance and have lost twice on the text, most recently in 2030, on a reading so plainly textual that every platform issuer chartered since has copied the structure line for line. Congress has not revisited it.

WHAT THE CHARTER WAS FOR

The choice of instrument was a calculation about control and about arithmetic, and the arithmetic has aged the better of the two. The Act's state-qualified issuer track caps issuance at \$10bn. Connectia's circulating supply is \$7.4bn and compounding. What looked in 2026 like a conglomerate reaching for a federal charter out of ambition was a company reading its own growth curve and finding that the state track ran out in about six years.

The objections filed against it have aged differently, which is to say they have not aged at all. The Bank Policy Institute argued that the application went at the longstanding separation of banking and commerce. The Independent Community Bankers of America warned that an uninsured issuer of systemic size would meet a receivership framework the OCC had never tested. The National Community Reinvestment Coalition warned of a two-tier system in which a digital-asset firm takes federal status without the public obligations that justify it, and noted that a trust owes nothing under the Community Reinvestment Act. Every one of those objections is as good today as it was then. None has been answered. What happened is that the second one stopped being asked.

In March 2029 a certificate rotation took PlayStation Network offline across three regions for nineteen hours. Redemption requests ran at roughly thirty times the trailing daily average, most of them from people who could not tell an outage from an insolvency and did not see why they should have to. Connectia met them in full and cleared the backlog within a day of service

restoration, because the reserve sat in Treasury bills with a weighted average maturity under thirty days and the OCC's conditions had never permitted it to sit anywhere else. Nobody needed deposit insurance because nobody lost anything. That is not an answer to the ICBA. It is the reason the ICBA stopped getting quoted.

The most peculiar condition in the approval letter turned out to be the one that mattered. The OCC reserved the right, at any point, to require Connectia to seat a full-time chief financial officer holding no other role in the group. At the time the clause read as belt and braces. It was invoked in 2029, after two years in which the trust's finance function had been run by an executive who also carried a Sony Financial Group title, and the search that followed took eleven months. Supervisors who have worked the file describe it as the single most effective piece of drafting in the document, on the grounds that it gave the agency a lever it could pull without opening an enforcement action.

The data condition survived as well: a hard separation between payment data and commercial data, audited annually against a standard the agency wrote for this charter and has since applied to four others. Whether the wall holds is contested. The examiners say it does. Two former employees have said in litigation that it does not, and that case is listed for 2032.

NO FED IN THE PICTURE

The structural oddity has not become less odd with time. The OCC supervises the trust. Japan's Financial Services Agency supervises the parent. The Federal Reserve supervises nothing, because a trust bank taking no insured deposits triggers no holding-company jurisdiction and Sony Financial Group is not a US institution. A group with \$7.4bn of dollar liabilities outstanding to American consumers sits inside a consolidated supervisory perimeter drawn in Tokyo.

Four years of a supervisory understanding have made this workable rather than comfortable. Information flows. Examination schedules are coordinated. What has not been resolved is what happens under group-level stress. The ring-fencing of the reserve holds under the trust's charter and under US law, and has never been tested against a Japanese insolvency proceeding. The two agencies have not agreed on the question so much as agreed not to force it, which is a supervisory posture with an excellent record right up until the day it does not have one.

The security history that dominated the comment period has not repeated. The 2011 PlayStation Network intrusion exposed the personal data of roughly 77 million accounts and took the service offline for weeks. The 2014 intrusion at Sony Pictures destroyed internal systems, drained the company's private correspondence into public view, and became the

reference case for what a determined state-linked actor can do to an entertainment company that is not a bank. Both were raised in every hostile comment letter. Neither has recurred at the trust, which was built separately, examined separately, and staffed substantially from outside the group. What the trust absorbs instead is the platform's ordinary noise: credential-stuffing waves against accounts that now carry a spendable balance, and a fraud line reported quarterly that has grown roughly in step with wallet count and that nobody has yet called alarming.

THE OBJECTIONS, SCORED

It is worth setting the 2026 predictions against the record, because the commentary at the time split between people who thought the charter was inevitable and people who thought it was outrageous, and very few who worked through how it would actually go.

What was predicted in 2026, and what actually happened		
ASSESSMENT · FOUR YEARS LIVE · 2031		
Nobody adopts it CONSUMER INDIFFERENCE	DID NOT HAPPEN	>
The charter arrives narrow REGULATORY OUTCOME	CAME TRUE	>
A security event during the build OPERATIONAL RISK	PARTLY	>
The tie becomes a tying claim ANTITRUST	PARTLY	>
Supervisory reach fails at the border HOME-COUNTRY SUPERVISION	PARTLY	>
Congress moves first LEGISLATIVE	DID NOT HAPPEN	>
Scored against the ranking assigned before the decision. The outcome rated most likely at the time is the one that missed by the widest margin.		
UNFILTERED. FILTERABLE BY STATUS IN THE WEB EDITION.		

THE RELATIONSHIP THAT STARTS FIRST

What unsettled the payments industry in 2026 was never the arithmetic. It was the demography, and four years of data say the fear was correct in shape and early in timing.

Visa and Mastercard built their franchises by being present at the first credit card application. The median American opens a general-purpose card at around twenty-one. The median SEN wallet is funded for the first time at fifteen, on a parent-managed account, and is still funded at twenty-six. Connectia is not competing with a bank for a relationship. It arrives roughly six years before the bank does, and by the time the bank arrives the customer has spent a third of their life with a spendable balance in a Sony account and no memory of a time when it was not there.

The cohort that was twenty-two when SEN Coin launched is twenty-six now, and it holds general-purpose cards at close to the rate its predecessors did. The networks kept the customer. What changed is the direction of the relationship. The card is now how the wallet gets loaded. The wallet is where the balance sits and where the brand lives, and the card has become the plumbing behind it, an instrument the customer touches once a month and thinks about never.

That is a smaller defeat than the networks feared and a more expensive one than it looks. Interchange is priced as a percentage of the ticket plus a fixed amount per transaction. Collapsing forty small entertainment purchases into one monthly load leaves the percentage roughly intact and deletes thirty-nine fixed fees, which on tickets this size is where most of the revenue lived. The networks did not lose the account. They lost the transaction count, which is the same thing arriving quietly.

"The card became the default because it was the first one," says a senior executive at one of the major networks, who declined to be named. "We told ourselves that as long as we were still in the funding chain we were fine. We are still in the funding chain. We are fine the way a landlord is fine."

The second asset is breadth, and it is the one no bank can assemble. A bank sees one account and the transactions that cross it. Connectia sees the same household across five categories that no single institution observes together: what they buy in games and how fast they spend after a load, what they rent and what they abandon halfway through, which subscriptions renew and which lapse in the month after a pay cycle slips, what hardware they finance and on what terms, and which of it moves when a household's income does. It is a cash-flow file on 41 million people, assembled over a decade, by an institution that has never made a loan.

The flywheel that worried competition lawyers in 2026 exists, and it is smaller than either side expected. Adoption funds the float, the float funds the credits, the credits fund adoption. The Justice Department opened an inquiry in 2029 into wallet-contingent pre-order windows on first-party titles and closed it the following year, after Sony withdrew the windows and gave an undertaking on checkout parity. The undertaking cost less than the litigation would have and constrains the loop more than the charter does, which is roughly the opposite of what everyone predicted.

THE BANK IT IS NOT

Everything above describes a payments company, and Connectia is chartered to be nothing else. A national trust bank may not take deposits, may not lend, carries no insurance, and under the Act may not pay a cent of interest. Four years of profitable operation have moved none of those lines, and Sony has not asked for any of them to move.

It is worth being precise about how much is being left where it lies, because the group is not guessing at this. Sony Financial Group already runs a bank, a life insurer and a general insurer in Japan. It is not a conglomerate wondering whether it could operate a financial institution. It is a financial institution operator that holds, in its largest overseas market, a licence permitting it to hold other people's money and to do nothing else with it.

The nearest concrete example is the hardware itself. A meaningful share of consoles and displays sold in the United States is financed at the point of sale by third-party lenders: Sony sells the box, somebody else books the receivable, and the interest leaves the group in its entirety. That is the interchange argument again, in a larger line item, against a customer the seller knows far better than the lender does. It is being made internally by the people who won the first one.

"They have the file. They have the age. They have the funding relationship. What they do not have is permission, and permission is the only part of this that money cannot buy."

The obstacle is not appetite and it is not the dataset. The dataset sits behind the data-separation condition, audited annually, walled off from commercial use, and Sony has never once asked the agency to relax it. The obstacle is that every route from here to a lending institution walks back toward the supervisor the 2026 structure was built to avoid.

A full-service national bank charter would bring the parent inside the Federal Reserve's holding-company perimeter, which is precisely the outcome the trust route sidestepped and the reason the approval drew the objections it did. An industrial loan company keeps the Fed out and puts the FDIC in, which is the route the car makers took when Ford, GM and Stellantis won conditional approvals in the middle of the decade, and it arrives with deposit insurance, a Utah charter, and a political argument that has run for twenty years without resolving. A partnership hands the margin and the customer back to a chartered bank, which is the thing the entire exercise was designed to stop doing.

Nobody at Sony will say which of the three is preferred. What is on the record is that Sony Financial Group retained industrial bank counsel in Salt Lake City this spring and has filed nothing.

The shape of it, if it is ever built, is not hard to see. A cohort that has kept a balance in a Sony account since it was fifteen, observed across a decade of discretionary spending, with a documented payment record that appears in no credit file and a funding relationship that already runs monthly. Underwriting that population is not a modelling problem. It is a chartering problem, and it has been a chartering problem since July 2026.

WHAT CONNECTIA WANTS NOW

The eleven pre-applications the OCC counted in 2027 did not become eleven charters. Four were filed. Two were granted, one was returned, and one is still sitting. The consequence that matters is not the count but the template. The structure Connectia used, a foreign parent, a US trust, a closed loop, and a rewards programme paid one level up, is now the standard architecture for any platform that wants to issue.

Against that horizon, the two things Connectia is actually asking for look modest. It has spent the past eighteen months pressing the agency on both. The first is authority for merchants outside the group to accept SEN Coin. The second is the ability to issue on a public chain rather than the permissioned ledger the trust controls end to end.

Both requests run straight at the sentence that granted the charter. The OCC's reasoning in 2026 was that the coin is not a deposit because it circulates in a closed loop. A coin accepted at merchants Sony does not own is a harder loop to call closed. A coin on a public chain is not a loop at all. The agency has never explained how the deposit prohibition applies to a token on an open network, because it has never had to, and the commenter who raised the point in 2026 was answered on the facts of a system that no longer describes what Connectia is asking to build.

The question posed while the application was pending was whether ordinary people could be persuaded to keep money somewhere new. They could. It turned out to require persuading them of nothing at all, only declining to mention that the balance they already kept had become the liability of a national bank.

The closed loop was the price of the charter and, as it turned out, the reason the thing worked. Connectia now wants to hand it back, and nobody at the agency has found a way to say yes that does not also say the 2026 approval was reasoned wrongly.

That argument is about merchant acceptance and about which ledger a token sits on, and it is not the one that matters. The one that matters is that a company with no lending authority has spent four years quietly acquiring everything a lender needs except the authority, on a generation that will be in its prime borrowing years by the end of the decade. Connectia is not a bank. It is a bank waiting for a charter, and it has already done the hard part, which was never the charter.



THE FORWARD FILE

SIX DISPATCHES FROM A DECADE THAT HAS NOT HAPPENED

Filed in sequence from 2031 to 2032. [Open the full file.](#)

FILED FROM 2031 CHARTERING № 1

Press start to pay

An entertainment company got bank powers, issued its own dollar, and now sits on the best consumer credit file nobody may use.

YOU ARE HERE

FILED FROM 2031 DEPOSITS № 2

Nothing sits still

Open banking and agentic commerce turn the retail deposit base into a spot market.

FILED FROM 2031 SUPERVISION № 3

The examiner who never leaves

Continuous supervision replaces the periodic exam, and four thousand banks manage to one dashboard.

FILED FROM 2031 MORTGAGE № 4

Nobody's on the file

Underwriting automation takes the cost, the jobs, and the point of a licensing regime.

FILED FROM 2032 THIRD-PARTY RISK № 5

Assessed once, trusted often

One assessment, published to a registry, makes it rational for a small bank to try something new.

FILED FROM 2032 CRYPTOGRAPHY № 6

The wallet woke up

Coins dormant since 2009 move, and the transfer itself is the announcement that the mathematics failed.

NEXT DISPATCH

Nothing sits still

The Ledger · Forward file. Speculative pieces built from primary-source reporting, filed from a date that has not happened yet.

This is a work of narrative fiction set in 2031. Drawn from the real record: the GENIUS Act of 2025; the OCC's conditional approval in July 2026 of a national trust charter for Connectia Trust, a Sony Financial Group subsidiary capitalised at \$40m and formed to issue and manage US dollar-denominated stablecoins; the OCC's stated reasoning that the trust's stablecoins were neither deposits nor checks because they would circulate in a closed-loop payment system, and its silence on how the same prohibition would apply on a public chain; the reserved condition permitting the agency to require a full-time, non-dual-role chief financial officer; the opposition filed by the Bank Policy Institute, the Independent Community Bankers of America and the National Community Reinvestment Coalition; the supervisory structure under which the OCC oversees the trust while Japan's Financial Services Agency oversees the parent, with no Federal Reserve role; Sony Financial Group's existing Japanese bank, life insurer and general insurer; the FDIC's conditional approvals of industrial loan company charters for Ford, GM and Stellantis, and the long-running objection to that charter as a route around Fed supervision; the 2011 PlayStation Network intrusion; the 2014 Sony Pictures intrusion; and the history of failed merchant payment consortia. Everything dated after 2026 is extrapolation. SEN Coin, the adoption and reserve figures, the 2029 redemption episode, the invocation of the CFO condition, the antitrust inquiry, the wallet funding and cardholding ages, the retention of industrial bank counsel, and all statements attributed to named or unnamed individuals are fictional constructs.